

would kill the currency (supply and demand remember).

Three decades or more ago, a lot of Indians used to favour investments in gold. Lessons learnt from the world wars, the partition of India, and financial depressions caused people to realise that paper money could become unreliable in times of strife, but gold was always valuable.

Bank accounts can be frozen and become useless to a person. Governments could (in theory) usurp land or declare an individual or a company broke with the stroke of a pen. This has happened before, an example is the persecution of Jewish people in Germany during Hitler's reign. Freedom can be lost, which is exactly what happened to Japanese-Americans during their war with Japan. Banks could collapse because of mismanagement, or a stock market could collapse due to a recession, but owning physical gold was considered a safe bet, because gold can be sold in other countries, even when your currency is rendered useless.

So what's the physical and tangible asset that cryptocurrencies have to back them up? What's the equivalent of gold in a digital universe?

NFTS?

Short for non-fungible tokens, NFTs are sort of an attempt to give the crypto world something even more unique than gold. When something is fungible, it means that only the amount is important, not the thing itself. So a hundred rupee note is exactly the same value as another hundred rupee note. As long as it was not counterfeit, I could take your old ₹100 note and give you a crisp, new, ₹100 note, and there would be no difference to your financial situation whatsoever.

Thus, when something is non-fungible, it's irreplaceable, or one of a kind. This should be better than gold in the real world, because even gold is fungible, as a 1 kg brick of pure gold is still worth the exact same as another 1 kg brick of pure gold. And in theory, NFTs are in fact unique, and are (usually) stored in an Ethereum blockchain.

The problem is, that's like you investing in gold, giving it to your bank, who then lists it in your bank account in terms of cash. If the bank goes under, so does your gold along with your money, thus making the whole exercise of buying gold pointless. Same thing with the cryptocurrency and NFTs, because even if an NFT is stored in a different part of a blockchain, it's still susceptible to all the same risks as the cryptocurrency itself.

Most NFTs being sold right now are digital art, but whatever they may turn out to be later, they're still going to be purely digital things, and have to be stored on a blockchain and



Cryptos will rule the Metaverse

assigned to an individual. There's nothing physical you have that can stake your claim to your wealth if it's measured in NFTs.

FOTDA

That stands for fear of the digital apocalypse, and it's not a well known acronym because we just made it up. It is a feeling that dates back to the Y2K days, though the amount of people fearing a digital apocalypse in 1999 was almost insignificant by modern standards, it was still a big deal at the time. It was a feeling that re-emerged in financial circles with the bursting of the dot com bubble in 2001. That and the shutting down or winding up of so many sites and services we used to take for granted, such as Orkut, Google+, BlackBerry, MySpace, Google Glass, and more.

And what it's done is make us very wary of digital promises that are

huge and world changing. Cryptocurrency and everything crypto has to be the biggest change we have seen in the digital world, and it makes the dot com hype of the late '90s pale in comparison. However, it's a bandwagon nonetheless, and there will be billions lost on it eventually, because not all crypto companies will be successful in the end. Not even a significant percentage of them will survive, if past history is any indicator, and the best most can hope for is to be taken over by bigger companies. A lot like how internet companies today are usually bought up by one of the big tech giants.

Of course, that doesn't help you, the little guy investor, who might back the wrong coin, but that's how unfair everything financial has been for a while now.

STILL CRYPTO

And yet, it will be crypto that will rule the metaverse, because there is no other option yet, and it seems unlikely that a new one will come along anytime soon. Instead, we will get governments backing their favourites, or some other governments outlawing crypto totally (because of how easily it can be used for illegal transactions), and there will be a mess, but it will eventually settle down to whatever the US and Europe decide to adopt, because they have the financial power to govern the space.

We expect more and more banks and governments to get on the bandwagon, and legalise or legitimise cryptocurrencies, which will make it spread a lot faster to the digital natives of the world. In fact, many services might adopt it so seamlessly that you won't even notice the difference. However, in no way can you afford to be ignorant of the way cryptocurrencies work anymore. All of us have to take them very seriously and educate ourselves about them, because for now, they're not going anywhere.

And don't worry about cryptocurrencies being 'made-up' as I described them earlier, because even the current financial system is essentially made-up too! 